



ROBERT H. SMITH SCHOOL OF BUSINESS

Ethical Decision Making: Verizon Communications, Inc.

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BUMK 760: Business Policies and Ethics

Professor Furst

Sunday, September 27, 2026

Verizon Communications, Inc.

Company Overview

Verizon Communications Inc. is one of the largest telecommunications companies in the world and the largest wireless carrier in the United States. The company's Headquarters is in New York City, and their major operational base is in Basking Ridge New Jersey. Verizon provides wireless service, broadband internet, and related communications products to consumers, businesses, and government customers across the United States and in select international markets. (Britannica Money, 2026). The company trades on the New York Stock Exchange under the ticker symbol VZ. Verizon communications has been recognized as a Leader for the 10th time in the Gartner Magic Quadrant report for Managed IoT Connectivity Services, Worldwide, Number 1 network choice in public safety. The company prides itself for having a large loyal customer base which include over 3500 agencies.

Verizon was birthed due to the 1983 breakup of the Bell System, which created several 'Baby Bell' regional telephone companies which included Bell Atlantic. In 2000 Bell Atlantic merged with GTE Corporation to form Verizon Communications (Britannica Money, 2026). Over the following two decades, Verizon transformed from a regional landline telephone provider into a national wireless and broadband company. This transformation was driven largely by acquisitions, sustained investment in network infrastructure, and expensive wireless spectrum purchases that allowed Verizon to build out 4G LTE and later 5G networks (Britannica Money, 2026). Verizon Wireless was formed in 2000 as a joint venture and was fully absorbed into the parent company. In a 2019 reorganization, the company folded its wireless and wireline products into two customer-facing divisions which are Verizon Consumer Group and Verizon Business Group.

Most recently, Verizon completed the acquisition of Frontier Communications which integrated Frontier's fiber infrastructure into Verizon's broader network to support both residential broadband and 5G wireless service (Britannica Money, 2026). This acquisition reflects Verizon's ongoing strategy of expanding owned fiber and fixed-wireless assets rather than relying solely on wireless spectrum.

Verizon was one of the first major U.S. carriers to offer fiber to the home services. This technology offered customers unprecedented internet speeds and superior TV quality when it rolled out in 2005 as Verizon Fios (Fiber Optic Service). Currently, Fios by Verizon, is a bundled Internet access, telephone, and television service that operates in nine U.S. states. Fios has been the most awarded network for internet speed and customer satisfaction over the past 10 years. Today, Verizon is using its end-to-end deep fiber resources throughout its 5G Ultra Wideband network.

Post Covid Era

How can Verizon leverage its existing customer base to increase fiber-optic adoption and strengthen its market position through market penetration, while using its existing fiber-optic services to attract new customer segments in the post-COVID-19 broadband market? Verizon is not simply entering a new market, they are leveraging its existing customer base and brand presence to expand beyond its traditional mobile focused position. By promoting fiber-optic broadband alongside its wireless services, Verizon can cross-sell to existing customers while strengthening its position as a full-service connectivity provider.

Business Problem

Verizon enters the post-pandemic fiber broadband market from a position of brand weakness but data strength. Historically perceived as a mobile-first carrier, Verizon is a comparative late entrant against established fixed-broadband incumbents such as Comcast, AT&T Fiber, and Spectrum. However, the structural shift toward remote and hybrid work following COVID-19 has created sustained, non-cyclical demand for reliable home internet, a shift in consumer behavior rather than a temporary spike. The core business problem is therefore twofold: how does Verizon leverage its existing mobile customer data asset to accelerate fiber adoption within its own subscriber base (market penetration), while simultaneously building credibility as a full-service broadband provider capable of winning net-new customers from competitors (product development)? The purpose of the data project is to develop a data-driven strategy enabling Verizon to increase revenue, expand market share, improve customer retention, and strengthen its competitive position against major telecommunication competitors. The analysis will focus on using customer, network, retail, and partnership data to identify growth opportunities.

Our analysis has a primary focus on market penetration through network and 5G reliability. The opportunities for product and service expansion will be examined to improve wireless plans through network coverage in the post COVID-19 Market. Verizon also wants to ensure broadband and fiber optic coverage has a strong presence in dispersed markets allowing for greatest potential for customer acquisition and profits. The analysis will predict which consumers are most likely to switch fiber-optic providers, identify geographic areas with the greatest expansion potential, forecast demand for devices and services, and recommend where Verizon should invest in network infrastructure with a potential five year plan to cover expenses.

The use of customer analytics, competitive intelligence, network data, retail information, and partner sales data will allow Verizon to identify opportunities to obtain new customers while increasing customer lifetime value and market share.

Target Market

Verizon targets (sub)urban professionals and large enterprise clients who prioritize network speed, coverage, and reliability without pricing as a premium factor. The business to business and enterprise clients are made of ninety-nine percent of Fortune 500 companies with secure 5G networks, cloud edge computing, and IoT deployments. Government agencies and medium scale businesses require mission-critical communication infrastructure. Verizon supports millions of subscribers and small partner mobile providers on the network. Verizon purchased Tracfone in 2020 “ a unit of Mexican telecom America Movil, in a \$6.25 billion cash and stock deal” (Bursztynsky, 2020). Tracfone has 21 million subscribers in over 90,000 retail locations as the largest prepaid mobile network.

Industry Growth and Competitors

The telecommunications industry in the USA is not only large but also highly competitive and continues to evolve as customer demand grows. The growth of the industry is a result of 5G network expansion, fiber-optic broadband, fixed wireless access, and the overall growth in the number of people depending on internet services for their schoolwork or even remote workers who depend on a fast and secure connection to make a living. Verizon Communications Inc. is one of the largest telecommunications companies in the US, and its primary competitors are AT&T and T-Mobile in the national wireless market (Verizon, 2026). Verizon also faces competition when it comes to broadband from cable providers such as Comcast and Optimum Fiber, which outperform Verizon in certain areas. Companies like

Optimum Fiber have similarities with Verizon in providing fiber internet and high-speed services. One key difference is availability: Optimum Fiber and cable internet are available across 22 states, while Verizon offers fiber and DSL in 13 states, to name a few (Totino, 2025).

Verizon has been a competitive player in the market, but the demand for broadband and data connectivity continues to create opportunities for the company to grow. With the rise in competition and changing industry trends, Verizon has expanded its broadband presence, including fiber and fixed wireless access. In 2025, Verizon reported \$138.2 billion in total operating revenue, compared with \$134.8 billion in 2024, demonstrating its significant position within the telecommunications market (Verizon, 2026). However, competition remains strong as AT&T and T-Mobile continue to invest in their networks and use competitive pricing, promotions, and bundled services to attract and retain customers.

Product Offerings

Verizon offers a wide variety of products and services for individual customers, businesses, and government organizations. For individual customers, Verizon provides cell phone plans, smartphones, accessories, and wireless services. Verizon also offers home internet through its 5G Home Internet and Fios fiber internet services (Verizon, n.d.-a).

For businesses and government customers, Verizon provides internet and wireless services, cybersecurity, cloud services, and Internet of Things (IoT) solutions (Verizon, n.d.-b). These services help organizations stay connected and manage their technology and communications needs. Overall, Verizon's main products and services focus on wireless communication, internet connectivity, and technology solutions.

Stakeholder Analysis

Verizon's stakeholder challenge is not simply about investing in broadband and 5G, but how to allocate limited capital across competing priorities. Customers seek affordable, reliable, and faster service, while shareholders prioritize profitability, dividends, and debt reduction. Enterprise customers and other stakeholders have additional expectations of the company's long term growth. Verizon must therefore balance broadband investment with financial discipline and the needs of its broader stakeholder base.

Trade- offs Amongst Stakeholders

The stakeholder conflict for Verizon involves increasing market share, customer lifetime value, revenue, and profitability. Customers are at stake with competitive pricing, network coverage, 5G availability vs. fiber access and device offerings. Shareholders' profitability and return on investment through revenue growth is at stake. Employees and retailers want to ensure their job stability through customer traffic. Enterprise customers need reliable connectivity, network performance and competitive advantage. Local infrastructure and 5G availability/improved broadband and investments are at stake in communities. Competitors' stakes involve pricing pressures, network and product strategies.

We want to ensure all stakeholders have an innovative experience based upon "trust, care, and excellence" (Verizon, n.d.). The growth of the market post COVID 19 caused one of the largest tradeoffs involving growth and financial discipline. Verizon's broadband requires large capital expenditures. In 2025, Verizon spent about \$17 billion on capital expenditures, while generating \$20.1 billion in free cash flow. Verizon's former CEO, Hans Vestberg played a prominent role in the growth and development of 5G (Magnotta & Young, 2025). Under Mr. Vestberg's leadership, Verizon has expanded the 5G network nationally for mobility and home internet and business services. Mr. Vestberg has executed transformational investments including

the purchase of C-Band spectrum to power the company's 5G leadership and the pending \$20 billion acquisition of Frontier Communications, which is a cornerstone of Verizon's broadband expansion strategy. Verizon's broadband strategy describes its capital allocation priorities as investments, maintaining the dividend, reducing debt, and returning cash to shareholders (Magnotta, 2024). Verizon has strong broadband competition while needing to balance investments, pricing and profitability. The post COVID changes in broadband demand has led to increased competitive pressure, additional investments in fiber/ 5G, which requires capital needed for dividends, debt reduction, and profitability for shareholders.

Potential Benefits and Risks

The proposed data project could benefit Verizon by helping the company better understand which consumers are most likely to adopt fiber and where additional 5G broadband investments could have the most impact. Using customer, network, and geographic data could help Verizon target its existing mobile customers with relevant broadband options instead of marketing the same services to all. Doing this may increase fiber adoption, as well as improve customer retention, which will help Verizon continue to increase revenue from its existing customer base (Verizon, 2026c). Verizon customers may also benefit from having more reliable internet options and potentially being able to combine both their mobile and home internet services. Communities may also benefit if Verizon were to use the analysis to identify areas where additional broadband infrastructure is needed, especially due to reliable internet being important for work, school, and businesses (Verizon, 2026a).

While mentioning proposed benefits, there are some risks associated with using customer data for this type of project. First, Verizon would need to make sure customer information is handled responsibly and that customers have an understanding of how their information could be

used (Verizon, 2026b). The risk of customer churn will be assessed through consensual data collected from Verizon customer feedback surveys. If for any reason this data is inaccurate or incomplete, Verizon could then make poor decisions about which customers to target or where to invest in infrastructure. Another concern is Verizon focusing too heavily on areas that may appear to have the highest potential for profit, while areas with lower expected demand receive less investment. This may create a disadvantage for some communities that already may have fewer or limited broadband options. Verizon's privacy policies show that the company collects different types of customer and service information, making responsible data use an important factor of the project (Verizon, 2026b).

Also, there could be effects beyond Verizon's immediate customers. Expanding fiber and broadband access can affect households, students, employees, and businesses that depend on reliable internet. Verizon's focus on digital inclusion also shows how broadband access may have broad effects on communities (Verizon, 2026a). However, Verizon needs to be able to balance these potential benefits with the cost of building and expanding its network (Verizon, 2026c). Overall, the project could help Verizon make more informed and accurate decisions about customers and infrastructure, but the company would need to consider privacy, fairness, willingness to pay, and the potential impact on communities when using the data. The potential benefits and risks affect not only Verizon and its customers, but also shareholders, employees, businesses, and communities.

Ethical Challenges

One of Verizon's main ethical challenges is privacy and data collection. Verizon already has an existing mobile customer base, and to increase the number of customers using its fiber services, customer data is a key component of this project. Verizon already has pre-existing

information such as the services they use and their location, and other customer activities that can narrow down the customers who might be interested in Fios. The information that Verizon has already gathered to better target customers and grow its fiber business begs the question: how much information should be used for marketing? We don't believe a lot of customers understand or know how their information is being used; they should also have a choice in how their data is being collected and used. There is also the issue of protecting this information from data breaches, especially as companies begin using a profuse amount of artificial intelligence and predictive technologies to understand customers' behaviours. Verizon reports that AI is making it easier and faster for attackers to identify and then take advantage of cybersecurity weaknesses. At the same time, organizations are struggling to keep up with fixing these issues. In 2025, only 26% of identified cybersecurity vulnerabilities were fully resolved, compared to 38% in 2024. In response, Verizon's chief information security officer, Nazrin Rezai, said that AI was necessary to fight against AI breaches. "We need to fight AI with AI. We need to incorporate them into our practices," she said (Asubonteng, 2026).

Another Ethical challenge is the environmental impact of Verizon's network and its continued expansion of fiber. As Verizon grows its fiber network, the company has to consider the environmental effects of building and maintaining the infrastructure. An example of this is the controversy that surrounds the old lead-covered telecommunications cables. Reuters reported on a lawsuit against Verizon related to the statements the company made about these cables and their possible environmental risks. While this doesn't mean that the claims against Verizon have been proven, it shows why telecommunications companies have a responsibility to consider what happens to the older infrastructure as newer technology such as fiber replaces it. These environmental concerns relate to the amount of energy needed to operate the telecommunications

networks. Verizon has stated that they are working to reduce emissions, increase its use of renewable energy, and reach net-zero operational emissions by 2035. In doing this, it shows that the expansion of fiber is not only about gaining customers and increasing revenue. Verizon also has to think about how its business decisions affect the environment. Overall, looking at the various steps that Verizon is taking will ensure the growth of its fiber business while still protecting its existing customers' information, resulting in not only a great impact on the safety of its customers' information but also on the environment at large that we all live in.

Ethical Obligations

Verizon holds strong ethical responsibilities when collecting, storing, and using customer data through its fiber-optic and wireless services. Verizon is committed to safeguarding consumer data while simultaneously improving business practices and generating revenue. Verizon is expected to maintain a transparent relationship with consumers, in addition to privacy, security, and responsible data usage. Data professionals are ethically responsible for protecting consumer data and ensuring that information is not disclosed to unauthorized third parties without proper consent. The use of Verizon's data collection process for location services led to a legal hearing "pointing to the law's text stating that customer proprietary network information includes data that is related to the location of a telecommunications service, and which is made available to the carrier 'solely by virtue of the carrier-customer relationship'" (Brodkin, 2025). Verizon must maintain strong public ethical obligations after former lawsuits regarding the unlawful use of data collection. Verizon's privacy policy reflects strong transparency about what data is being collected and how it is being used such as personalized experiences, fraud protection, location services, network usage, maintain account, and billing records, etc. Verizon's public interest

should not be compromised in order to generate revenue and leverage against wireless competitors by sacrificing consumers' privacy.

Consumers were informed that data was collected for marketing and advertising purposes based upon consumer locations and demand. "Verizon Communications Inc. sold the data of more than 140 million wireless subscribers to third parties for targeted advertising without users' knowledge or consent, according to a proposed class action" (Coyer, 2025). The Verizon settings are configured allowing consumers to restrict the data collection process through deleting data and managing privacy preferences. Verizon's online privacy dashboard allows consumers to choose among thirteen companies owned by Verizon to "submit requests to access, delete, or correct personal information" (Verizon, 2026). Verizon's full privacy policy is listed in a question and answer format allowing consumers to see a detailed version of all information. Verizon's strong public scrutiny surrounding privacy and lawsuits encourage strong privacy and safety concerns and public ethical considerations.

Ethical Best-Case Scenario

The best-case scenario is that Verizon uses customer and network data to identify households that could genuinely benefit from Fios while respecting customer privacy and choices. Clear explanations of how data is used, meaningful marketing opt-outs, and strong security measures would allow Verizon to offer relevant services without undermining trust. Verizon's Fios Privacy Policy explains that the company collects information about customers' service use, network performance, and location, while also providing customers with choices regarding certain uses of their information (Verizon, 2026). The analysis could also help Verizon to prioritize fiber extensions in areas with limited reliable broadband. If Verizon manages the

impact of construction, the use of older cables, and efficient energy use, the project could improve connectivity for communities while creating sustainable business growth.

The ethical worst-case scenario is that the project could cause harm if Verizon combines detailed location and usage data in ways customers do not expect or cannot meaningfully refuse. A breach could expose sensitive data while inaccurate predictions could lead to intrusive marketing or exclude some communities from the investment. If Verizon focuses expansion only on the most profitable neighborhoods, existing gaps in broadband access could widen. Poor handling of older infrastructure and the impacts of infrastructure could create further environmental and public health concerns. In that case Verizon might increase revenue in the short term while harming customers, communities and public trust.

Reflection of Input

Heven: Contributed to the Ethical challenges, and added more sources to support some of the the Ethical challenges that Verizon is facing and assist with corrections from the previous submissions.

Nia: Document format, updating reference list, and contributed to public and data professional's ethical obligations, updated feedback from submission two

Rutendo: Contributed to ethical best case scenario

Julia: I contributed to this project by continuing to research Verizon's products and services,

analyzing the benefits and risks of its broadband growth strategy, and contributing to the ethical sections of the case study. I contributed to the Ethical Best-Case Scenario and found additional sources to support our arguments, particularly regarding customer privacy, data collection, cybersecurity, and the potential impact on our communities.

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